

■ Portfolio Monitoring

Having your fund net asset value (NAV) and the intraday profits and losses ticking in real time in front of you is a mixed blessing. It is certainly convenient and reassuring to be able to follow your positions intraday. It lets you stay current with the developments in the markets and how your fund responds to it and it gives you a good feel for your portfolio composition and return profile. This type of monitoring is usually available from most futures brokers and if it does not suit your needs, you could use your Reuters, Bloomberg, or whatever market data system you have and build your own Excel monitoring screen that calculates the P&L for you.

The question is, of course, whether intraday, tick-by-tick monitoring contributes anything positive. Having the real-time values ticking in front of you does not help your trading and if you have a strategy that just trades on end-of-day values anyhow, it serves only to increase your stress level and distract your attention from more important tasks. There is very little rational reason why you would want to stare at a ticking portfolio screen during the day if you run a strategy such as the one in this book.

Of course, despite having said this, I have to confess that I spend much more time than I should watching that screen and I know just how addictive it can be.

■ Strategy Follow-Up

Once you are up and running, trading live money and, I hope, showing good results, the actual work is far from over. One of the most important tasks going forward is to benchmark your actual results with the expected results from your simulations as well as from other futures managers. If you spent all this time developing a solid trading strategy and it turns out that your returns are not closely tracking the expected simulated returns, you need to figure out what is wrong. There will, of course, always be small discrepancies between simulations and reality but they should be within a reasonable range and random, and not systematic. If you are a little worse one month and a little better another, that is not a big deal, but if you are always a little